

Bajaj Capital interview prep

MF, taxation, markets & inflation

1. Mutual funds – common schemes, SIP, STP, SWP

A mutual fund pools money from many investors. A fund manager then invests this money in shares, bonds or other assets, based on the scheme's goal.

SIP, STP, SWP – one line each

- SIP (Systematic Investment Plan): put in a fixed amount every month. Money IN.
- STP (Systematic Transfer Plan): move a fixed amount from one scheme to another on a schedule, usually debt to equity. Money MOVES.
- SWP (Systematic Withdrawal Plan): take out a fixed amount from an existing investment on a schedule. Money OUT.

Easy to remember: SIP = money IN, STP = money MOVES, SWP = money OUT.

Good to know for the interview: SIP is a way of investing, not a separate type of mutual fund.

Type	What it mainly invests in
Equity fund	Shares of companies
Debt fund	Bonds and other fixed-income instruments
Hybrid fund	A mix of equity and debt
Index fund	A passively managed fund that aims to replicate the performance of an underlying index, such as the Nifty 50
ETF (Exchange Traded Fund)	Like an index fund, but bought and sold on the stock exchange like a share
Gold ETF	Tracks the price of gold, without holding physical gold
Liquid fund	Very short-term, low-risk debt instruments
Large cap fund	Large, well-established companies
Mid cap fund	Mid-sized, growing companies
Small cap fund	Smaller, higher-risk companies
Flexi cap fund	Can move across large, mid and small cap companies

SIF (Specialised Investment Fund) – good to know

SIF is a newer SEBI-regulated category, introduced from April 2025, that sits between mutual funds and Portfolio Management Services (PMS). It gives fund managers more flexibility than a regular mutual fund – for example, sector rotation, dynamic asset allocation, and limited long-short strategies – while still operating within a regulated, mutual-fund-style framework. The minimum investment is ₹10 lakh per investor (at the PAN level, across all SIF strategies of a single AMC), so it's aimed at experienced or higher-net-worth investors rather than a typical retail entry point like an SIP.

2. Taxation on mutual funds – FY 2026-27, kept simple

Source: SBI Mutual Fund tax reckoner FY 2026-27 · Source: Bajaj Finserv, LTCG tax rate FY 2026-27

Fund type	Held under 1 year	Held over 1 year
Equity fund (mostly shares)	20% tax	12.5% tax, only on gains above ₹1.25 lakh in a year
Debt fund (bought on/after 1 April 2023)	Taxed at your income slab rate	Same – slab rate, no special long-term benefit
Gold ETF	Taxed at your income slab rate	12.5% tax, no ₹1.25 lakh-style exemption – the whole gain is taxed

Note: for Gold ETFs the long-term threshold is 12 months (they're listed, like equity), not 2 years – that 2-year rule applies to unlisted gold fund-of-funds instead.

Tax rates above are before applicable surcharge and 4% Health & Education Cess.

Simple points to remember

- The ₹1.25 lakh exemption applies to aggregate long-term capital gains covered under the equity LTCG provisions, including eligible equity-oriented mutual funds and listed equity shares. It is an annual aggregate limit, not ₹1.25 lakh per fund.
- Equity-oriented mutual funds: generally at least 65% in domestic equity; equity taxation applies.
- Debt-oriented and other non-equity funds: taxation differs based on fund composition and date of investment, so check the applicable rules.
- If you get IDCW (dividend) from a fund, it's added to your income and taxed at your slab rate.
- SIP instalments are each treated as a separate investment (oldest units count as sold first), so different instalments can have different holding periods.

Likely question: Is SIP tax-free? No – SIP is just a way of investing. Tax depends on the fund type and how long each instalment was held.

3. Stock market basics – use, parties, IPO, listing, BSE, NSE

What is the stock market, and why does it exist?

The stock market is where shares of companies are bought and sold. A share means part-ownership of a company.

- For companies: a way to raise money for growth, instead of only borrowing.
- For investors: a way to own part of a company's growth, and to buy or sell that ownership easily.

Key market participants

Investor | Broker | Stock Exchange | Clearing Corporation | Depository (NSDL/CDSL) | SEBI

Think of these as the key players in a trade, not a strict step-by-step sequence. Once a company is listed, trading happens between investors – the company is not part of each individual trade.

Primary market vs secondary market

- Primary market: a company issues new shares directly to investors, such as in an IPO.
- Secondary market: investors trade already-listed shares with each other on the exchange.

What is an IPO?

IPO = Initial Public Offering. An IPO is when a company offers its shares/securities to the public for the first time. This can be a fresh issue of new shares, an offer for sale (OFS) by existing shareholders, or a mix of both – so it's not always the company itself that receives the proceeds.

Simple flow: IPO → Allotment → Listing → Trading on NSE/BSE

Likely question: Does the company get money every time its shares are bought on NSE? No. Once listed, day-to-day trading is between investors (secondary market). The company only raises money when it issues new shares (primary market, e.g. an IPO).

Key players – quick reference

Party	Role
SEBI	Regulator – oversees the whole market
BSE, NSE	The two main stock exchanges in India
Stockbrokers	Place buy/sell orders on your behalf
NSDL, CDSL	Depositories – hold your shares electronically (demat form)

BSE (Bombay Stock Exchange)

BSE was set up in 1875 and is Asia's oldest stock exchange, headquartered in Mumbai. Its benchmark index, the Sensex, tracks 30 of the largest and most actively traded companies listed on the exchange. Like NSE, BSE operates under SEBI's oversight, with trades settled through the depositories NSDL and CDSL.

NSE (National Stock Exchange)

NSE was established in 1992 and pioneered screen-based, fully electronic trading in India; it is also headquartered in Mumbai. Its benchmark index, the Nifty 50, tracks the 50 largest companies listed on the exchange by free-float market capitalisation.

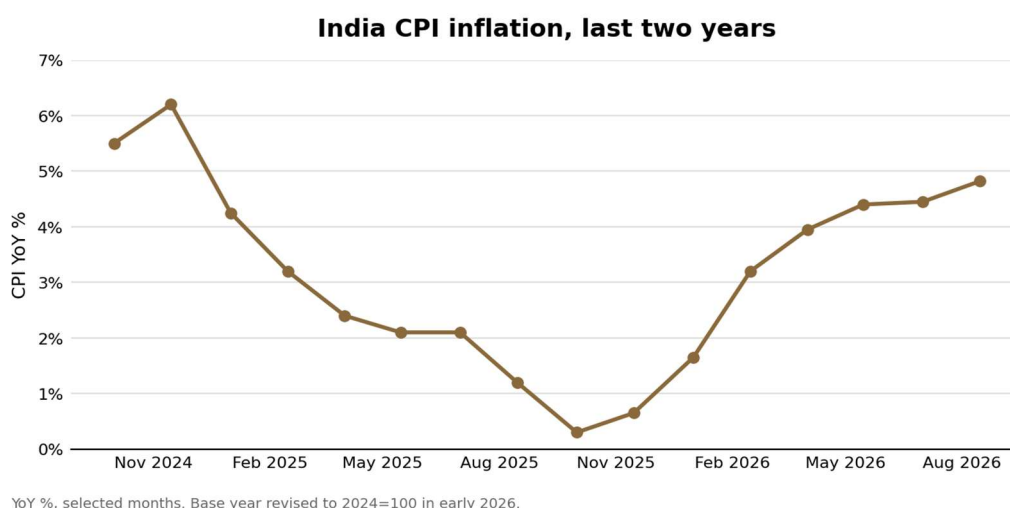
4. Inflation – meaning, India context, recent trend, impact on savings

Inflation is the rate at which prices of goods and services rise over time. As prices go up, the same amount of money buys less – this is a fall in purchasing power.

Why it matters in India

- The RBI aims to keep CPI (Consumer Price Index) inflation near 4%, within a 2–6% tolerance band. This band has applied since 2016; the government just renewed it unchanged for another five years, April 2026 to March 2031.
- Food prices carry a heavy weight in India's CPI, so a poor monsoon or crop shortage can push inflation up quickly.
- The RBI mainly uses the repo rate to manage inflation: raises it to cool prices down, cuts it to support growth.

How inflation has moved recently



Broad trend: Inflation moderated sharply through 2025 before rising again during 2026.

Interview takeaway: Inflation reduces purchasing power, so investment returns should be viewed relative to inflation.

Note: the CPI base year changed to 2024 = 100 in early 2026, so figures from before and after that change aren't perfectly comparable – useful for the broad direction, not exact month-to-month maths.

Impact on savings and investments

- What matters to an investor is the real return: $\text{Real return} \approx \text{Investment return} - \text{Inflation}$.
- Example: a fixed deposit paying 6% with inflation at 5% only grows your real wealth by about 1%.
- For long-term goals, investors may therefore need to consider growth-oriented assets, depending on their goals, time horizon and risk profile.
- Rising inflation (as through mid-2026) puts pressure on both FD rates and equity markets; falling inflation generally supports lower interest rates over time.
- For client conversations: this is the simplest way to explain why 'safe' fixed-return products alone may not be enough for a long-term goal.

MoSPI/RBI data reported in press coverage, Sep 2024–Aug 2026

5. Practice questions to prepare

Go through these out loud, 30–45 seconds each:

1. What is a mutual fund?

A mutual fund pools money from many investors, and a fund manager invests it in shares, bonds or other assets based on the scheme's objective.

2. What's the difference between equity, debt and hybrid funds?

Equity funds mainly buy shares (higher risk/return); debt funds mainly buy bonds and fixed-income instruments (lower risk); hybrid funds mix both.

3. What is SIP? Is SIP itself a type of mutual fund?

SIP is a way of investing a fixed amount every month into a fund – it's not a separate type of mutual fund.

4. Difference between SIP, STP and SWP?

SIP puts money in every month, STP moves money between two schemes on a schedule, SWP takes money out of an existing investment on a schedule.

5. What's the difference between an index fund and an ETF?

Both track an index like Nifty 50. An index fund is bought/sold at day-end NAV like any mutual fund; an ETF trades on the exchange all day like a share.

6. How are equity mutual funds taxed? How are debt funds taxed?

Equity: 20% if held under a year, 12.5% above ₹1.25 lakh gain if held over a year. Debt (bought after 1 April 2023): taxed at your income slab rate, whatever the holding period.

7. What is the stock market and why does it matter?

It's where company shares are bought and sold – it lets companies raise capital and lets investors own part of a company's growth and trade that ownership.

8. Difference between the primary and secondary market?

Primary market: a company issues new shares directly to investors, e.g. an IPO. Secondary market: investors trade already-listed shares with each other.

9. What is an IPO? What happens after listing?

An IPO is when a company offers its shares to the public for the first time; after listing, the shares trade on the stock exchange like any other listed share.

10. What are NSE and BSE?

India's two main stock exchanges. NSE (1992) tracks the Nifty 50; BSE (1875, Asia's oldest) tracks the Sensex.

11. What is inflation, in your own words?

The rate at which prices of goods and services rise over time, so the same amount of money buys less.

12. How does inflation affect a saver's real returns?

Real return $\approx$ investment return – inflation, so high inflation eats into what a saver actually gains.

13. If FD returns are below inflation, what happens to purchasing power?

It falls – the money grows in rupee terms but buys less over time than it did before.

14. Why should someone invest rather than keep all their money in savings?

Savings and fixed-return products may not always beat inflation. Depending on the investor's goals, time horizon and risk profile, growth assets can be considered to improve the potential for inflation-beating returns.

15. A client has ₹5 lakh to invest – what do you ask before recommending anything?

Their goal, time horizon, liquidity needs and risk appetite – never jump straight to a product name.

16. A client says "I don't want any risk" – how do you respond?

I would first understand why the client doesn't want risk, their goal, time horizon and liquidity requirement. I would then explain different types of risk, including inflation risk, before discussing suitable options.

17. Why do you want this client-facing wealth role?

Answer in your own words – focus on genuine interest in helping clients meet their goals, plus the mix of analytical and people skills the role needs.

18. How would you build trust with a new client?

Listen first, understand their goals honestly, explain recommendations clearly, and follow up consistently.